

Meridian Capital Management — Investment Memorandum

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Name: Cirrus Logistics, Inc. (NASDAQ: CRLG) | Analyst: J. Okafor | Date: May 2026 | Recommendation: LONG, 4.0% target weight

Thesis

Cirrus Logistics is a last-mile freight-brokerage platform mispriced as a cyclical trucker. We believe its asset-light digital brokerage (Cirrus Connect) is structurally taking share, and that gross-margin expansion from automation is underappreciated by the sell side. Base case is a double on a 24-month view; the variant view is that take-rate and Connect attach are durable, not promotional.

Business Overview

Two segments. (1) Brokerage — matching shippers to carriers, ~78% of revenue, historically low-margin. (2) Cirrus Connect — a SaaS + transactional layer (automated load matching, payments, telematics), ~22% of revenue and growing fast. Management guides Connect to 30%+ of revenue by FY28. The variant perception centers on Connect's contribution margin, which the sell-side note models at 12% but which we believe runs closer to 18-20% at scale.

Financial Summary (USD millions, FY ending Dec)

Metric	FY24A	FY25A	FY26E	FY27E
Revenue	1,240	1,410	1,640	1,930
Brokerage	1,010	1,120	1,250	1,400
Cirrus Connect	230	290	390	530
Gross margin %	14.1%	15.0%	16.4%	18.1%
Adj. EBITDA	62	88	131	201
Adj. EBITDA margin %	5.0%	6.2%	8.0%	10.4%
Free cash flow	31	47	78	129
Net debt / EBITDA	2.1x	1.6x	1.0x	0.4x

Valuation

CRLG trades at 9.1x FY26E EBITDA vs. asset-light brokerage peers at 13-15x. Our base case applies 13x to FY27E EBITDA of 201, less net debt, for a ~\$28 target (vs. \$14 today). Bear case (Connect attach stalls, take-rate compresses 150bps) is ~\$11; bull case (Connect to 30% of mix by FY27, 20% segment margin) is ~\$40.

Key Risks

(1) Freight-cycle downturn compresses brokerage volumes. (2) Connect take-rate is partly promotional and could normalize lower. (3) Customer concentration: top 10 shippers are ~34% of revenue. (4) A large carrier could disintermediate the platform. (5) Capitalized software masks true Connect contribution margin.

Open Diligence Questions (to resolve on the management / sell-side call)

Q1. What is the true contribution margin of Cirrus Connect at current scale, ex-capitalized software? The note models 12%; we think 18-20%.

Q2. Is the Connect take-rate promotional? What is the like-for-like take-rate trend over the last 8 quarters?

Q3. How concentrated is Connect revenue among the top 10 shippers, and what is net revenue retention?

Q4. What underpins the FY27E gross-margin bridge to 18.1% — mix, automation, or pricing?

Q5. What are the contractual switching costs that prevent a large carrier from disintermediating the platform?

Q6. How sensitive is FY27E EBITDA to a 150bps take-rate compression?